Accounting Manual for Urban Local Bodies

Part - 2 : Accounting Principles

KUSP
FOOTFALLS OF FUTURE

Government of West Bengal

Change Management Unit

KOLKATA URBAN SERVICES FOR THE POOR

ACCOUNTING MANUAL FOR URBAN LOCAL BODIES

Part-2: Accounting Principles

Government of West Bengal
Change Management Unit

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Minister - in - Charge

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GOVERNMENT OF WEST BENGAL
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FOREWORD

Urban Local Bodies currently maintain their day-to-day accounts under Cash-based single entry system. This accounting method does not take into consideration receivables, payables, non-cash items of expenditure, provisions etc., for which the real financial picture of the Urban Local Bodies remains obscure. To remove such deficiencies, Govt. of West Bengal is keen to introduce accrual-based double entry accounting system in ULBs in consonance with the current national policy of introducing this system in the local bodies.

Kolkata Urban Services for the Poor, an important programme of the Government of West Bengal assisted by Department for International Development of the Government of United Kingdon, has taken up the task of introducing this modern accounting system in forty of the ULBs. Modern accrual based system of accounting will enable better administration and informed decision-making is the Urban Local Bodies.

The ULBs under KUSP have enthusiastically started the task of converting their accounting system from single entry case based to double entry accrual based Already significant progress has been made by a number of Urban Local Bodies in preparation of their opening balances.

This Manual comprehensively covers all aspects of the accrual based double entry system which will help the Urban Local Bodies in switching over. This will prove useful to us not only in introduction of this system in the forty ULBs under KUSP but also in extending this system to all ULBs in the State of West Bengal.

I am glad to note that this Manual has been prepared in lines of the National Municipal Accounts Manual of Government of India with necessary customization for the State. This Manual might also prove useful to other states which will make up this task.

I trust that this Manual will be used by the official of the ULBs entrusted with this work and will make their task easier. I request them to communicate any difficulty they may have in implementing this Manual to the Change Management Unit. All are welcome to give their feedback.

Asok Bhattacharya
Minister-in-Charge, Municipal Affairs Department,
Government of West Bengal

Shri Dipankar Mukhopadhyay, IAS

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PRELUDE

The Government of West Bengal has decided to introduce Accounting Reforms in its Urban Local Bodies. The Urban Local Bodies will be gradually switching over to the Accrual Based Double Entry system of Accounting. In the first phase the 40 Urban Local Bodies included in the DFID assisted Kolkata Urban Services for the Poor (KUSP) programme shall be converting to the new system. The Change Management Unit, KUSP has been entrusted with facilitating the conversion of the accounting system in the 40 ULBs. The ULBs were initially given a guideline for preparation of Opening Balances. The rest of the Accounting Manual is now complete and its being brought out for the use of the ULBs.

The Manual comprises 6 (six) parts, viz., (1) Introduction to Double Entry Accrual-based Accounting, (2) Accounting Principles, (3) Guidelines for preparation of Opening Balance Sheet, (4) Chart of Accounts, (5) Forms and Formats, and (6) Transaction Entries. A separate booklet for each of these six parts have been published. The task of implementation of the Accrual-based Double entry Accounting in the ULBs involve a number of stages, such as determination of Accounting Policies and Principles, preparation of Opening Balance Sheet, prescribing various Heads of Accounts with proper condification, prescribing formats of various MIS Reports, and the methodology of recording day-to-day financial transactions. The six parts of the Manual shall take care of these different tasks.

While preparing the Accounts Manual, the prescriptions of the National Municipal Accounts Manual published under the aegis of Ministry of Urban Development, Govt. of India, and the Comptroller & Auditor General of India, have been followed. In some cases the prescribed principles have been customized to suit the conditions of the stage. The contents of the present Accounts Manual shall henceforth be the guiding principles in the matters of the Accounting Reforms in the ULBs of West Bengal. After the publication of this Manual, one last task remains i.e. the amendment to the relevant provisions of the W.B. Municipal Act, 1993 and the W.B. Municipal (Finance and Accounting) Rules, 1999. The said task shall be taken up after the process of conversion of accounting system in the first few ULBs in successfully implemented.

I hope this Manual proves useful to all who will be using it. I also request the users of this Manual to give their feedback to the Change Management Unit, KUSP.

I take this opportunity to thank Sri Arnab Roy, the Project Director, and his team is CMU as well as all those associated with preparation of the Manual for their outstanding performance.

Dipankar Mukhopadhyay
Secretary, Municipal Affairs Department
Government of West Bengal

INTRODUCTORY NOTE

Switching over to the accrual based double entry system of accounting by Urban Local Bodies is one of the first of the Municipal Governance reforms being facilitated by the Kolkata Urban Services for the Poor programme. This manual has been prepared for use of the Urban Local Bodies in implementing the modern accounting system. The authors have attempted to make this as user friendly as possible and understandable by all

This part of the Manual depicts the fundamental policies and principles on the basis of which the accrual-based Double entry Accounting for the ULB-environment in West Bengal is designed. Since the designing of the Accounting System is dependent on the State's ideals, objectives and policies, the National Municipal Accounts Manual could not be blindly followed wherever the ideals, objectives and policies of the State varied from the assumptions and bases accepted in the National Municipal Accounts Manual. This part details the policies adopted in West Bengal for formulating the principles of the system of accounting.

I acknowledge the contribution of the following persons in bringing out this manual:

Shri Atanusasan Mukhopadhyay, Municipal Finance Expert in Change Management Unit, for leading, coordinating and managing the entire process;

Members of the Steering Committee formed for bringing out the Manual - Shri H. K. Das, Deputy Commissioner, Internal Audit Wing, Finance Department Government of West Bengal, Shri Anup Matilal, Project Manager, Change Management Unit, Kolkata Urban Services for the Poor, Shri Subir Kumar Bhattacharyya, Finanacial Adviser, SUDA, Sri D.K. Dwibedi, Deputy Municipal Commissioner, Kolkata Municipal Corporation, Sri Bharat Saha, Director of Finance, Kolkata Metropolitan Development Authority, Sri M.M. Alam, Finance Officer, SUDA, Sri Ajit Mullick, Finance Officer Bidhannagar Municipality, Sri Bikash Kanti Mondal, Finance Officer, Barrackpore Municipality, besides Shri Atanusasan Mukhopadhyay. The Steering Committee played an important role in guiding the manual development process and customization to the requirements of our State and ULBs;

The team of Pricewaterhouse Coopers, consultants to C.M.U., especially Shri Tarun Gupta who developed the drafts and redrafted them a number of times as required by the Steering Committee;

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Feedback and suggestions are welcome.

Arnab Roy
Project Director,
Change Management Unit,
Kolkata Urban Services for the Poor

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1 ACRONYMS

CAG	Comptroller and Auditor General of India
CMU	Change Management Unit
CWIP	Capital Work In Progress
DFID	Department for International Development, UK
GoWB	Government of West Bengal
HP	Hire Purchase
FIFO	First In First Out
KUSP	Kolkata Urban Services for the Poor
UK	United Kingdom
ULB	Urban Local Body

2 INTRODUCTION

2.1 This chapter contains a compilation of the Significant Accounting Principles to be followed in preparation of accounts of the Urban Local Body.

2.2 The Financial Statements of the Urban Local Body shall contain a Statement of Significant Accounting Principles as Notes to accounts in respect of important Accounting Principles adopted in preparing and presenting such information. The Significant Accounting Principles as mentioned in this chapter shall be followed consistently each year.

2.3 Accounting principles are drafted taking into consideration the diverse and complex nature of activities undertaken by the ULB, which makes it necessary to have accounting policies, principles and methods of their application in day-to-day accounting. The choice of the accounting principles and the method of their application in the specific circumstances call for considerable judgment.

2.4 Where any of the Accounting Principles adopted by the local body while preparing its Financial Statements is not in conformity with the principles prescribed in this chapter and the effect of deviation from the Accounting Principles is material, the particulars of the deviation shall be disclosed, together with the reasons and the financial effect thereof, except where such effect is not ascertainable. In case the financial effect thereof is not ascertainable, either wholly or in part, the fact that it is not so ascertainable shall be indicated.

2.5 The fact of switching over to accrual basis of accounting from traditional cash basis of accounting should be disclosed as Notes in the year of switch over.

2.6 Likewise, any change in the Accounting Principles which has no material effect on the Financial Statements for the current period but which is reasonably expected to have a material effect in later periods, the fact of such change should be appropriately disclosed in the Financial Statements of the period in which the change is adopted.

2.7 In case where there is no specific mention of an accounting principle in this Manual, the accounting principle as specified by the CAG in their National Municipal Accounts Manual shall be followed. In case reference cannot be taken from the National Municipal Accounts Manual, the same shall be specified by Government of West Bengal.

2.8 The following Accounting Principles shall govern the recording, accounting and treatment of transactions relating to various activities as given below:

3 ACCOUNTING PRINCIPLES

3.1 INCOME

3.1.1 Property and Other Taxes

a) Revenue in respect of Property and Other Taxes including surcharge shall be recognised in the period in which they become due and demands are ascertainable. In case of Property Tax, accounting entries on a quarterly basis shall be recorded in the books of accounts either on an entry in the Assessment Register (Form 5) or raising of the bill, whichever is earlier.In case of new or changes in assessments, it should be accrued in the month in which the demand is served.

b) Revenue in respect of Property Transfer Charges/ Mutation shall be recognised on actual receipt.

c) Revenue in respect of Advertisement tax shall be accrued either based on Demand or based on the contract. The premium amount or the lump sum amount received shall be recognized over the period of agreement.

3.1.2 <u>Water Supply</u>

a) Revenue in respect of Water Charge, Water Supply Charges, Water Meter Rent, Sewerage charge, Disposal charges shall be recognised in the period in which they become due, i.e., when the bills are raised.

b) Revenue in respect of Connection Charges for Water Supply shall be recognised on actual receipt.

c) Revenue in respect of Water Tanker Charges and Road Damage Recovery Charges, Penalties shall be recognised on actual receipt.

3.1.3 <u>Rentals, Fees and Other Sources of Income</u>

a) Revenue in respect of Trade License Fees shall be recognized on cash basis.

b) Revenues in respect of rents from properties shall be accrued based on terms of agreement.

c) Other income, in respect of which demand is ascertainable and can be raised in regular course of operations of the ULB, shall be recognised in the period in which they become due, i.e., when the bills are raised.

d) The Other Incomes, which are of an uncertain nature or for which the amount is not ascertainable or where demand is not raised in regular course of operations of the ULB, shall be recognised on actual receipt e.g. toll.

e) Interest on investment, loan and interest bearing advances is recognised on due basis.

f) Revenues from fines are recognised on cash basis, except where a Court imposes a fine and the person against whom the fine has been imposed, has the right to contest before a due date. In such case, fine will be recognised after expiry of the due date.

g) In case of Public Private Partnership where the ULB along with a private concern enters into an agreement of operation or business, revenue shall be recognised on due basis. In case of revenues generated from commercial ventures undertaken by the ULB without any private partnership, it shall also be accounted for on due basis.

h) Salami received against property shall be accounted for on receipt basis and transferred to Municipal Fund.

3.1.4 <u>Common accounting principles of Property and Other Taxes, Water Supply and Rentals, Fees and Other Sources of Income</u>

a) Interest element and Penalties, if any, in demand shall be reckoned only on receipt.

b) Revenue in respect of Notice Fee, Warrant Fee and Other Fees charged shall be recognised when the bills for the same are raised.

c) Revenue in respect of rent of equipment provided to the contractors, deducted from their bills, shall be recognised as and when the deductions are made.

d) Provision on arrears of income shall be made by the ULBs as follows:

Sick/Closed Industries - 100% of the due

The age-wise analysis of Receivables of Property Tax shall be made a regular exercise and shown in Notes to Accounts. The age-wise analysis for receivables of arrear tax shall show separately past years' tax as under:

For the last three years	During 3-5 years	During 5-10 years	During 10-15 years	During 15 years
(a)	(b)	(c)	(d)	(e)

e) In case collection of any income is under litigation, wherever applicable, no accrual entry will be passed and a disclosure of it will be made in the Not es to Accounts.

f) Refunds, remissions of incomes for the current year shall be adjusted against the income and if pertaining to previous years then it shall be treated as prior period item, wherever applicable (except where the income is recognized on cash basis).

g) Write-offs of incomes shall be adjusted against the provisions made and to that extent recoverable gets reduced, subject to approval of the Government.

h) Any subsequent collection or recovery of 'Receivables for Property & Other Taxes", "Receivables of Water Supply Income" or "Receivables of Rental, Fees and Other Incomes" which were already written off shall be recognised as a 'Prior Period Income'.

i) Demands raised with retrospective effect will be treated as prior period income to the extent it pertains to earlier years, wherever applicable, (except where the income is recognized on cash basis).

3.1.5 Assigned Revenues

Assigned revenues passed on by the Central/ State/Government Agencies to the ULB like Entertainment Tax, Duty / Surcharge on transfer of Immovable properties, shall be accounted during the year only upon actual collection.

3.1.6 Health and Sanitation

Revenue in respect of the following shall be recognised on actual receipt.

i) Hospital fees, maternity homes fees, diagnostic centre fees and dispensaries fees

ii) Hospital training fees

iii) Rent and/or hire charges in respect of ambulance, hearse, suction unit, meat van and road roller

iv) Sale of fertilisers and waste, sale of animals and sale of scrap.

3.2 EXPENDITURE

3.2.1 Employee Related Transactions

a) Expenses on Salaries and other allowances shall be recognised as and when they are due for payment (i.e. at the month end).

b) Statutory deductions from salaries including those for income tax, profession tax, provident fund contribution, etc., shall be recognised as liability in the same period in which the corresponding salary is recognised as expense.

c) Gratuity shall be calculated upon retirement of the employee and will be due then.

d) Leave encashment will be recognised on actual payment basis.

e) Pension is recognised on actual payment basis.

f) Interest receivable on loans given to employees shall be recognised as revenue at the end of the period in which these have accrued.

g) In respect of loans to employees, penal interest leviable on default in repayment of principal or payment towards interest shall be recognised on accrual basis.

h) Bonus, ex-gratia, overtime allowance, other allowances and reimbursements to the employees shall be recognised as an expense as and when they are due for payment.

i) Employer's contribution to Contributory Provident Fund is recognised on due basis.

3.2.2 Health and Sanitation

a) All revenue expenditures incurred shall be recognised on admission of the bills for payment by the ULB.

b) Provision shall be made at the year-end for all bills received upto 31st May of next financial year or till finalisation of accounts, whichever is earlier.

3.2.3 <u>Other Revenue Expenditures</u>

a) Other Revenue Expenditures shall be treated as expenditures in the period in which they are incurred.

b) Provisions shall be made at the year-end for all bills received upto 31st May of next financial year or till finalisation of accounts, whichever is earlier.

c) Any expenditure for which the payment has been made in the current period but the benefit and/or service is likely to arise in a future period shall be treated as an expenditure for the period in which its benefit arises and/or services are received.

d) The expenditure for the current period shall include the proportionate value of the benefits and/or services arising in the current period even if the payment therefor has been made in the previous period.

3.3 ASSETS

3.3.1 <u>Public Works</u>

a) The cost of fixed assets shall include cost incurred/money spent in acquiring or installing or constructing fixed asset, interest on borrowings attributable to acquisition or construction of qualifying fixed assets up to the date of commissioning of the assets and other incidental expenses incurred up to that date.

b) Any addition to or improvement to the fixed asset that results in increasing the utility or capacity or useful life of the asset shall be capitalised and included in the cost of asset. Expenditure in the nature of repairs and maintenance incurred to maintain the asset and sustain its functioning or the benefit of which is for less than a year, shall be charged off as Revenue Expenditure. However if the demarcation is difficult between Capital and Revenue Expenditure, one time expenses which exceeds 10% of the cost of specific fixed asset, subject to a minimum of Rs. 5000/- will be treated as Capital Expenditure and thus capitalised.

c) Assets under erection/installation on existing projects and capital expenditures on new projects (including advances for capital works and project stores) shall be shown as "Capital Work-in-Progress".

d) CWIP shall be transferred to the respective asset head once the asset has been fully constructed or the asset is ready for its intended use.

e) Security deposit or retention money is considered as revenue at the time when intimation is made by the Engineering Department, with the approval of the Mayor/Chairperson about the unsuccessful performance of the work and as per the contract, the money is forfeited and when the right for claiming refund of deposit has also expired.

f) Deposit received under Deposit works shall be treated as a liability till such time the projects for which money is received is completed. Upon completion of the projects, the cost incurred against it shall be reduced from the liability.

3.3.2 <u>Stores</u>

a) Expenditure in respect of material, equipment, etc., procured shall be recognised on accrual basis, i.e., on admission of bill by the ULB in relation to materials, equipment, etc., delivered. The cost of inventories shall include the purchase price including the expenditure incurred to bring the inventories to its present location and condition i.e. freight inward, duties and taxes, etc.

b) Accounting of 'goods received & accepted but no bills received' as at the cut off date shall be accounted based on purchase orders. The cut-off date shall be 31st May of the next financial year or till finalisation of accounts, whichever is earlier.

c) The stock lying at the period-end shall be valued at cost in accordance with the First in First out (FIFO) Method.

d) Agricultural products are valued on the basis of Net Realisable Value.

e) Inventories of consumable supplies such as stationery, fuel shall be charged to revenue at the time of purchase.

f) Revenue in respect of disposal of material shall be recognised on actual receipt.

3.3.3 <u>Investments</u>

a) Investments shall be recognised at cost. The cost shall include other incidental expenses incurred for its acquisition e.g. brokerage.

b) All long-term investments shall be carried / stated in the books of accounts at their cost.

c) Interest on investments shall be recognised as and when due. At period-ends, interest shall be accrued proportionately.

d) Dividend on investments shall be recognised on actual receipt.

e) Profit/loss, if any, arising on disposal of investment (net of selling expense such as commission, brokerage, etc) from the Municipal Fund shall be recognised in the year when such disposal takes place.

f) Income on investments made from Special Fund and Grants under specific Scheme shall be recognised and credited to Special Fund and

Grants under Specific Scheme respectively, whenever accrued. Profit/loss, if any, arising on disposal of investments (net of selling expense such as commission, brokerage, etc) made from the Special Fund and Grants under specific Scheme shall be recognised and credited/debited to Special Fund Account and Grant under specific scheme Account respectively.

3.3.4 Fixed Assets

a) All Fixed Assets shall be carried at cost less accumulated depreciation. The cost of fixed assets shall include cost incurred/money spent in acquiring or installing or constructing the fixed asset, interest on borrowings directly attributable to acquisition or construction of qualifying fixed assets up to the date of commissioning of the assets and other incidental and indirect expenses incurred up to that month.

b) Any addition to or improvement to the fixed asset that results in increasing the utility or useful life of the asset shall be capitalised and included in the cost of the fixed asset. Expenditure in the nature of repairs and maintenance incurred to maintain the asset and sustain its functioning or the benefit of which is for less than a year, shall be charged off as Revenue Expenditure. However if the demarcation is difficult between Capital and Revenue Expenditure, one time expenses which exceeds 10% of the cost of specific fixed asset, subject to a minimum of Rs. 5000/- will be treated as Capital Expenditure and thus capitalised.

c) Any Fixed Asset, which has been acquired free of cost or in respect of which no payment has been made, shall be recorded at nominal value of Re. 1/-.

d) Land acquired through purchase is recorded on the basis of aggregate of purchase price paid/ payable and other costs incidental to acquisition.

e) Leasehold lands acquired by the ULB are taken as a part of the municipal asset at a total value payable as lease charges over the entire lease period and amortised equally over the lease period.

f) Lands that are acquired free of cost from the government or provided by individuals or institutions under endowment for specific purposes are priced at Re. 1/-. Where the ownership of the lands has not been transferred in favour of the ULB, but the land is in the permissive possession of the ULB, such lands should be included in the Register of Land with Re1/- as its value. However their should be a clear mention in the Register that in case the Govt. takes back the land at any point of time in future, reversal of entry shall be made in the Register of Lands. Cost of developing such vested lands, if any, should be booked under the sub-head 'land'.

g) Cost of land improvements such as leveling, filling or any other developmental activity is capitalised as a part of the cost of land.

h) Statues and Heritage Assets - Statues and valuable works of art will be valued at the original cost and no depreciation shall be charged thereon. In case, however, the original cost is not available or the items have been gifted to the ULB by some other person/ authorities, the value should be taken at Re 1/. Heritage buildings declared through Gazette Notification should be booked under this head and should be valued at book value/cost of the material date. No depreciation should be charged on such buildings. However, in case of capital improvements after the building has been so notified, depreciation at the normal rate of buildings shall be charged. In case, however the book value /cost of the material date is not available or the items have been gifted to the ULB by some other person/ authorities, the value should be taken at Re 1/-. Material date in this case would be the date of Gazette Notification. "

i) Parks and Playgrounds should be capitalized under two categories ,viz,

   i. Land pertaining to Parks and Playgrounds including the cost of development of land that should be booked under 'Land'.

   ii. Other amenities to Parks and Playgrounds that should be capitalized under the sub-head 'Parks and Playgrounds' under the head 'Infrastructure assets'.

   However, any building /structures/ plant and machinery etc. constructed/ installed in the Parks and Playgrounds and used for other purposes should not be booked under the sub-head 'Parks and Playgrounds'. The same should be booked under the appropriate heads/ sub-heads of assets.

j) All lands that are under encroachment and belonging to the ULB and where it is not possible to have the land evacuated, the Board of Councillors would decide about the % of provision to be made on the cost of land. If the encroachment is for more than 2 years, provision equal to ninety percent (90%) of the carrying amount should be made.

k) Method adopted for depreciation of assets is straight-line method of depreciation, except for leasehold lands, which is amortised over its leased life. Depreciation method adopted is same for assets acquired on finance lease.

l) Useful life concept has to be applied on arriving at the rate of depreciation. Useful life has to be determined either for individual assets or for a class of assets and rate of depreciation thus arrived.

m) All assets which have fully depreciated shall carry a book value of at least Re. 1/-

n) All individual assets, whose cost is below Rs. 5,000/- (Rupees Five Thousand Only) shall be depreciated at 100% rate.

o) Assets identified and evaluated technically as obsolete and held for disposal are to be stated at their net book value or estimated net realisable value, whichever is lower.

p) Intangible assets of the ULB includes computer software, which shall be valued at cost plus cost of staff time and consultants costs incurred, in implementing the software, if any. It shall be capitalized, only when the intangible asset is developed, and which can be used by ULBs over a period of time to derive economic benefits from it. In case it is not so, the entire amount will be charged to revenue, in the year in which it is incurred. The intangible assets acquired shall be depreciated over a period of five years or useful life, whichever is earlier.

q) If the ULB has taken a loan, or other borrowings for the construction of an asset or a group of assets, then the interest would be capitalised to that particular asset or the group of assets. If a particular loan cannot be identified for a specific asset, then capitalisation would be made at weighted average rate. The weighted average rate will be applicable after taking into consideration the period of completion/ building of assets and the amount invested in relation thereto.

r) Borrowing cost includes

Interest and commitment charges on the bank borrowings and other short term and long term borrowings,

Amortisation of discounts or premiums related to the borrowings.

s) Capitalisation will take place when all the following conditions are satisfied.

Expenditure for the construction or acquisition of the asset has been incurred.

Borrowing costs are being incurred during construction.

The activities that are necessary to prepare the asset for its intended use or sale are in progress.

t) Capitalisation of the borrowing cost shall cease when substantially all the activities that is necessary to prepare the asset for its intended use or sale is complete. An asset is normally ready for its intended use or sale when its physical construction or production is complete even though the routine administrative work might still continue.

u) Depreciation on assets on which government grant has been received, is calculated on the gross value of fixed asset i.e. without deducting the grant amount from asset value. The grant so received is charged to the income and expenditure statement in the same proportion as the depreciation charged on such assets.

v) Depreciation shall be provided at full rates for assets, which are purchased/ constructed before October 1 of an Accounting Year. Depreciation shall be provided at half the rates for assets, which are purchased/ constructed on or after October 1 of an Accounting Year.

w) Depreciation shall be provided at full rates for assets, which are disposed on or after October 1 of an Accounting Year. Depreciation shall be provided at half the rates for assets, which are disposed before October 1 of an Accounting Year.

3.4 GRANTS, BORROWINGS AND SPECIAL FUNDS

3.4.1 Grants

a) General Grants, which are of a revenue nature, shall be recognised as incomes on actual receipt.

b) Grants towards revenue expenditure, received prior to the incurrence of the expenditure, shall be treated as a liability till such time that the expenditure is incurred.

c) Grants received or receivable in respect of specific revenue expenditure shall be recognised as income in the accounting period in which the corresponding revenue expenditure is charged to the Income and Expenditure Account.

d) Grants received towards capital expenditure shall be treated as a liability till such time that the fixed asset is constructed or acquired. On construction/ acquisition of a fixed asset out of the grants so received, the extent of liability corresponding to the value of the asset so constructed/ acquired shall stand reduced and the amount shall be treated as a capital receipt and shall be transferred from the respective Specific Grant Account to the Grant Against Asset Account. Amount proportionate to depreciation of the asset shall be credited to the Income and Expenditure Account every year. Grants received for non-depreciable assets shall be credited to Capital Reserve.

e) Capital Grants received as a nodal agency or as implementing agency for an intended purpose i.e. Deposit Works, which does not, result in creation of assets with ownership rights for the ULB shall be treated as a liability till such time it is used for the intended purpose. Upon utilisation for the intended purpose, the extent of liability shall stand reduced with the value of such utilisation and no further treatment, as a capital receipt shall be required.

f) Grants in the form of non-monetary assets (such as fixed assets given at a concessional rate) shall be accounted for on the basis of the acquisition cost. In case a non-monetary asset is received free of cost, it shall be recorded at a nominal value (e.g. Rupee One). Where the assets are compulsorily acquired for non-payment of taxes or duties, the unpaid amount as appearing in the books constitutes the consideration for the acquisition and the asset acquired should accordingly be recorded at such amount.

g) In the case of building/ constructing of an asset by an external Govt. controlled agency out of Govt. grants with the pre-condition that the asset thus built/ constructed would be immediately handed over to the ULB, the whole of the capital cost of the asset as well as the grant should be shown in the books of accounts of the said ULB on transfer of the asset.

3.4.2 <u>Borrowings or Loans received</u>

a) Interest expenditure on loan shall be recognised on accrual basis.

b) Interest on borrowings directly attributable to acquisition or construction of qualifying fixed assets up to the date of commissioning of the assets shall be capitalised.

c) A provision shall be made for the interest accrued between the date of last payment of interest and the date of financial statements and shall be charged to the current period's Income and Expenditure Statement i.e. interest accrued but not due.

3.4.3 <u>Special Funds</u>

a) Special Funds shall be treated as a liability on their creation.

b) Income on investments made from Special Fund shall be recognised and credited to Special Fund, whenever accrued. Profit/loss, if any, arising on disposal of investments made from the Special Fund shall be recognised and credited/debited to Special Fund Account.

c) Any expenditure of a revenue nature, which is incurred specifically on scheme/project for which a Special Fund has been created, shall be charged to that Special Fund. Any special fund utilised for the purpose for which it was created should be transferred to special funds (Utilised) Account.

d) On completion of the construction of a fixed asset and/or on acquisition of a fixed asset out of a Special Fund, the amount equivalent to the cost of such fixed asset shall be transferred from the respective Special Fund to the Grant Against Asset Account. Amount proportionate to depreciation of the asset shall be credited to the Income and Expenditure Account every year.

3.5 OTHERS

3.5.1 Lease and Hire Purchase

a) Finance lease in the books of lessee

i) At the commencement of the lease term, finance leases shall be recorded as an asset and a liability. Such recognition shall be at an amount equal to the cost.

ii) Finance lease payments shall be apportioned between the finance charge and the reduction of the outstanding liability. The finance charge shall be allocated as to produce a constant periodic rate of interest on the remaining balance of the liability for each of the period.

iii) Depreciation on such assets shall be provided at the same rates as in case of owned assets.

b) Operating lease in the books of Lessor

i) Assets given under operating lease shall be accounted as own assets in the same manner similar to any other fixed assets owned and used by the ULB.

ii) Lease income from operating leases shall be recognised as income on a straight-line basis over the lease term. Lease income shall be accrued on the respective due dates.

iii) Any amount incurred that results in improvement or increase of the useful life of the assets under operating lease shall be capitalised as like any other asset used by the ULB for its own operations;

iv) Depreciation on such assets shall be provided at the same rates as in case of owned assets.

v) The contract for parking fees, market space for stalls, ponds and other assets given on lease shall be accounted for on the basis of lease agreement.

c) Hire purchase in the books of buyer

i) The purchase price shall be capitalised as the cost of fixed assets.

ii) Hire Purchase (HP) instalments shall be apportioned between the finance charge and the reduction of the principal outstanding. The finance charge shall be allocated so as to produce a constant periodic rate of interest on the remaining balance of the liability.

iii) The total amount of interest portion out of the 'HP Payable' shall be accounted by debiting to a control account under current assets. This amount will be adjusted on accounting of finance charges.

iv) The depreciation principle for assets purchased under HP should be consistent with that for owned assets.

d) Hire purchase in the books of seller

i) The sale price (including the interest portion) shall be accounted as receivable from HP agreement;

ii) HP instalments shall be apportioned between the interest income and the reduction of the principal amount receivable (the finance income to be allocated so as to produce a constant periodic rate of interest on the remaining balance of the receivable);

iii) The total amount of interest portion out of the 'HP Receivable' shall be accounted by crediting to a control account under current assets. This amount will be adjusted while accounting for finance charges.

3.5.2 Loans

a) Interest/penal interest on loans shall be recognised as and when due. At period-ends, interest shall be accrued up to the date of the period-end.

b) Interest / penal interest earned on loans given out of specific fund/grant shall be directly credited to the specific fund/grant account.

3.5.3 Municipal School Board

a) Fees and fines received from primary schools shall be recognised on actual receipt.

b) Contribution receivable from other local bodies/ municipalities shall be recognised on actual receipt basis.